

I continued to caddy throughout high school and into Boston College, where the Francis Ouimet Caddy Scholarship helped pay the bills. In college, except for the obligatory courses, I avoided science, math, and accounting—all the normal preparations for business. I was on the arts side of school, and along with the usual history, psychology, and political science, I also studied metaphysics, epistemology, logic, religion, and the philosophy of the ancient Greeks.

As I look back on it now, it's obvious that studying history and philosophy was much better preparation for the stock market than, say, studying statistics. Investing in stocks is an art, not a science, and people who've been trained to rigidly quantify everything have a big disadvantage. If stockpicking could be quantified, you could rent time on the nearest Cray computer and make a fortune. But it doesn't work that way. All the math you need in the stock market (Chrysler's got \$1 billion in cash, \$500 million in long-term debt, etc.) you get in the fourth grade.

Logic is the subject that's helped me the most in picking stocks, if only because it taught me to identify the peculiar illogic of Wall Street. Actually Wall Street thinks just as the Greeks did. The early Greeks used to sit around for days and debate how many teeth a horse has. They thought they could figure it out by just sitting there, instead of checking the horse. A lot of investors sit around and debate whether a stock is going up, as if the financial muse will give them the answer, instead of checking the company.

In centuries past, people hearing the rooster crow as the sun came up decided that the crowing caused the sunrise. It sounds silly now, but every day the experts confuse cause and effect on Wall Street in offering some new explanation for why the market goes up: hemlines are up, a certain conference wins the Super Bowl, the Japanese are unhappy, a trendline has been broken, Republicans will win the election, stocks are "oversold," etc. When I hear theories like these, I always remember the rooster.

In 1963, my sophomore year in college, I bought my first stock—Flying Tiger Airlines for \$7 a share. Between the caddying and a scholarship I'd covered my tuition, living at home reduced my other expenses, and I had already upgraded myself from an \$85 car to a \$150 car. After all the tips that I'd had to ignore, I finally was rich enough to invest!

Flying Tiger was no wild guess. I picked it on the basis of some dogged research into a faulty premise. In one of my classes I'd read an article on the promising future of air freight, and it said that Flying Tiger was an air freight company. That's why I bought the stock, but that's not why the stock went up. It went up because we got into the Vietnam War and Flying Tiger made a fortune shunting troops and cargo in and out of the Pacific.

In less than two years Flying Tiger hit \$32¾ and I had my first five-bagger.